# QUARTERLY INVESTOR REPORT

Vista Newport Crossing | Grand Rapids, MI

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| **Investment** | Vista Newport Crossing |
| **Quarter** | 4Q 2019 |
| **Report Date** | August 3, 2023 |
| **Sponsor** | Juniper Peak Real Estate Fund |
| **Occupancy** | 95.4% |

## Investor Distributions

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. Average rent is $23 per square foot with parking at a ratio of 13 spaces per 1,000 square feet. Projected levered IRR is 5.3% with an equity multiple of 1.24x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 6.0% on contributed capital.

The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. Average rent is $23 per square foot with parking at a ratio of 37 spaces per 1,000 square feet. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

## Management Commentary

Collections for the period were 96.2% of billed charges, with bad debt of 3.4% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average rent is $23 per square foot with parking at a ratio of 48 spaces per 1,000 square feet. Service requests are tracked through a work-order system with an average completion time of 4 hours.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Service requests are tracked through a work-order system with an average completion time of 37 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 15 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 96.1% of billed charges, with bad debt of 4.3% of gross potential income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

## Investment Overview

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $23 per square foot with parking at a ratio of 15 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 4.9% on contributed capital. Average rent is $23 per square foot with parking at a ratio of 28 spaces per 1,000 square feet.

## Property Operations

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 24 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 15th business day. Collections for the period were 89.9% of billed charges, with bad debt of 7.2% of gross potential income. Average rent is $23 per square foot with parking at a ratio of 3 spaces per 1,000 square feet.

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## Investor Distributions

The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 6.4% on contributed capital. Projected levered IRR is 7.1% with an equity multiple of 1.41x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. Projected levered IRR is 7.3% with an equity multiple of 1.35x over the hold period. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

## Leasing and Marketing

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Service requests are tracked through a work-order system with an average completion time of 16 hours. Average rent is $23 per square foot with parking at a ratio of 35 spaces per 1,000 square feet. Collections for the period were 89.6% of billed charges, with bad debt of 6.8% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 27th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Average rent is $23 per square foot with parking at a ratio of 8 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Collections for the period were 91.0% of billed charges, with bad debt of 5.7% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 10th business day. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

## Risk Considerations

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Average rent is $23 per square foot with parking at a ratio of 3 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 4.3% on contributed capital.

## Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 30 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $23 per square foot with parking at a ratio of 4 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Service requests are tracked through a work-order system with an average completion time of 10 hours. Average rent is $23 per square foot with parking at a ratio of 15 spaces per 1,000 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 44 additional team members. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The manager completes a monthly walk of the property and submits a variance report to the owner by the 40th business day.

## Business Plan Progress

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Average rent is $23 per square foot with parking at a ratio of 19 spaces per 1,000 square feet. Distributions to investors for the quarter were paid at an annualized rate of 5.8% on contributed capital. Projected levered IRR is 4.9% with an equity multiple of 1.44x over the hold period. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns.

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## Capital Project Schedule

| Project | Category | Start | Completion | Budget | Spent to Date | Status |
|---|---|---|---|---|---|---|
| Elevator modernization | Energy | 01/29/26 | Q2 2026 | $234,000 | $142,496 | Deferred |
| LED lighting retrofit | Interior | 12/14/25 | Q2 2027 | $850,000 | $63,719 | Deferred |
| Security camera upgrade | Site | 12/20/25 | Q2 2025 | $334,000 | $150,509 | Approved |
| Unit interior upgrades | Life Safety | 05/30/25 | Q4 2026 | $362,000 | $267,814 | Bidding |
| Landscape / irrigation | Life Safety | 04/11/26 | Q1 2025 | $38,000 | $12,998 | Deferred |
| Water heater replacement | Site | 05/10/26 | Q1 2027 | $615,000 | $473,359 | Bidding |
| Lobby renovation | Energy | 07/12/25 | Q1 2025 | $515,000 | $234,184 | Bidding |
| Water heater replacement | Building | 05/28/26 | Q3 2025 | $191,000 | $88,294 | Deferred |
| Fire alarm panel upgrade | Life Safety | 03/27/25 | Q4 2026 | $629,000 | $29,850 | In progress |
| Signage / monument | Life Safety | 10/26/26 | Q3 2027 | $658,000 | $502,213 | Deferred |
| HVAC replacement | Interior | 07/25/24 | Q4 2027 | $831,000 | $513,598 | Complete |
| Unit interior upgrades | Energy | 03/25/24 | Q2 2027 | $164,000 | $89,934 | Deferred |
| Parking lot resurfacing | Site | 12/12/23 | Q2 2025 | $303,000 | $219,771 | Deferred |
| Elevator modernization | Life Safety | 08/04/26 | Q2 2027 | $111,000 | $56,892 | Bidding |
| Exterior paint | Building | 05/09/26 | Q2 2026 | $266,000 | $278,446 | In progress |
| Fire alarm panel upgrade | Life Safety | 08/16/26 | Q2 2027 | $460,000 | $214,876 | Bidding |
| Water heater replacement | Energy | 10/02/25 | Q1 2026 | $323,000 | $332,891 | In progress |
| Fence replacement | Energy | 12/08/25 | Q2 2026 | $204,000 | $197,723 | Bidding |
| Door hardware | Life Safety | 02/05/23 | Q1 2026 | $110,000 | $110,719 | Bidding |
| Water heater replacement | Building | 02/10/25 | Q1 2025 | $326,000 | $304,148 | Bidding |
| Water heater replacement | Building | 09/26/24 | Q3 2025 | $294,000 | $308,338 | Complete |
| Lobby renovation | Interior | 12/27/25 | Q1 2026 | $57,000 | $2,250 | Approved |
| Signage / monument | Energy | 08/22/24 | Q2 2026 | $338,000 | $326,627 | In progress |
| Pool resurfacing | Interior | 02/18/25 | Q2 2026 | $826,000 | $267,242 | Approved |
| ADA compliance | Energy | 09/17/26 | Q2 2025 | $207,000 | $125,493 | Complete |
| Fence replacement | Building | 12/08/25 | Q3 2027 | $152,000 | $132,492 | Complete |
| Amenity renovation | Building | 06/22/25 | Q3 2027 | $736,000 | $90,060 | Approved |
| LED lighting retrofit | Energy | 08/18/24 | Q3 2026 | $671,000 | $597,013 | In progress |
| Exterior paint | Site | 10/13/23 | Q3 2025 | $444,000 | $96,631 | In progress |
| Security camera upgrade | Interior | 02/13/25 | Q2 2025 | $242,000 | $253,482 | Approved |
| Parking lot resurfacing | Life Safety | 12/13/24 | Q4 2026 | $568,000 | $238,656 | In progress |
| Unit interior upgrades | Interior | 05/21/25 | Q4 2025 | $280,000 | $196,578 | Approved |
| Unit interior upgrades | Site | 02/19/25 | Q2 2025 | $336,000 | $88,001 | In progress |
| Roof replacement - Bldg C | Interior | 11/25/24 | Q2 2026 | $860,000 | $509,173 | In progress |
| Storefront glazing | Life Safety | 02/13/26 | Q3 2027 | $96,000 | $44,281 | Bidding |
| Security camera upgrade | Interior | 09/07/23 | Q4 2026 | $256,000 | $54,285 | In progress |
| ADA compliance | Site | 09/29/24 | Q3 2025 | $500,000 | $21,079 | Complete |
| Storefront glazing | Building | 02/16/24 | Q3 2027 | $789,000 | $308,784 | Approved |
| Unit interior upgrades | Building | 02/28/23 | Q2 2025 | $840,000 | $231,154 | Bidding |
| Door hardware | Life Safety | 06/24/26 | Q1 2026 | $178,000 | $111,222 | Complete |
| HVAC replacement | Energy | 04/06/25 | Q1 2025 | $265,000 | $238,620 | Bidding |

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## Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. The going-in capitalization rate of 5.98% reflects the in-place income and the stabilized occupancy assumption. Average rent is $23 per square foot with parking at a ratio of 32 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 3.3% over the hold period. Effective gross income for the trailing period was $409,000, representing a 13.9% increase over the prior year. The going-in capitalization rate of 6.99% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 5.0% of collected revenue and are included in operating expenses.

## Supply and Demand

Vista Newport Crossing is located in Grand Rapids, MI, a market that has recorded 7.8% population growth over the last five years. Market vacancy for comparable Retail product stands at 4.1%, down from 3.9% two years ago. Employment growth is led by healthcare, logistics, education and professional services sectors. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Average rent is $23 per square foot with parking at a ratio of 41 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Vista Newport Crossing is located in Grand Rapids, MI, a market that has recorded 3.0% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors.

## Financial Analysis

Average rent is $23 per square foot with parking at a ratio of 34 spaces per 1,000 square feet. Effective gross income for the trailing period was $324,000, representing a 8.0% increase over the prior year. Management fees are calculated at 3.5% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The going-in capitalization rate of 5.51% reflects the in-place income and the stabilized occupancy assumption.

Average rent is $23 per square foot with parking at a ratio of 14 spaces per 1,000 square feet. Effective gross income for the trailing period was $79,000, representing a 2.2% increase over the prior year. Operating expenses totaled $283,000 or approximately 22.93 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 8.07x on a trailing basis against a covenant minimum of 1.20x. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

## Supply and Demand

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Rent growth in the submarket has averaged 7.5% annually over the past 4 years. Employment growth is led by healthcare, logistics, education and professional services sectors. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Market vacancy for comparable Retail product stands at 7.2%, down from 5.0% two years ago.

Average rent is $23 per square foot with parking at a ratio of 47 spaces per 1,000 square feet. The Grand Rapids Retail market has experienced absorption of 4300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Vista Newport Crossing is located in Grand Rapids, MI, a market that has recorded 2.2% population growth over the last five years. Median household income within a 2-mile radius of the property is approximately $178,000 and has grown 4.5% annually.

## Income and Expense Review

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## Annual Operating Budget by Account

| Account | Prior Yr Actual | Prior Yr Budget | Current Budget | Variance $ | Variance % | Per Unit/SF |
|---|---|---|---|---|---|---|
| 5000 Gross Potential Rent | $351,360 | $351,368 | $370,898 | $19,538 | 5.6% | $61,816.34 |
| 5010 Loss to Lease | $545,513 | $508,547 | $518,405 | -$27,108 | -5.0% | $86,400.77 |
| 5020 Vacancy Loss | $344,091 | $363,044 | $363,579 | $19,488 | 5.7% | $60,596.49 |
| 5030 Concessions | $159,343 | $150,259 | $159,763 | $420 | 0.3% | $26,627.24 |
| 5040 Bad Debt | $304,499 | $302,299 | $319,670 | $15,170 | 5.0% | $53,278.30 |
| 5050 Late Fees | $185,550 | $170,836 | $172,190 | -$13,360 | -7.2% | $28,698.25 |
| 5060 Utility Reimbursements | $166,566 | $154,919 | $156,879 | -$9,686 | -5.8% | $26,146.54 |
| 5070 Parking Income | $67,247 | $65,545 | $69,313 | $2,067 | 3.1% | $11,552.23 |
| 5080 Application Fees | $466,105 | $498,137 | $527,638 | $61,533 | 13.2% | $87,939.67 |
| 5090 Pet Rent | $437,044 | $431,536 | $433,871 | -$3,173 | -0.7% | $72,311.81 |
| 5100 Laundry Income | $57,422 | $61,379 | $62,277 | $4,856 | 8.5% | $10,379.57 |
| 5110 Cable/Internet Revenue | $341,859 | $363,629 | $381,500 | $39,641 | 11.6% | $63,583.32 |
| 5120 CAM Reimbursements | $307,130 | $317,385 | $324,968 | $17,838 | 5.8% | $54,161.39 |
| 5130 Tax Reimbursements | $118,820 | $115,009 | $122,838 | $4,018 | 3.4% | $20,472.98 |
| 5140 Insurance Reimbursements | $265,625 | $261,250 | $271,436 | $5,811 | 2.2% | $45,239.39 |
| 5150 Percentage Rent | $328,413 | $322,503 | $342,047 | $13,634 | 4.2% | $57,007.81 |
| 5160 Misc. Income | $150,582 | $151,910 | $154,979 | $4,398 | 2.9% | $25,829.85 |
| 5170 Payroll - Management | $283,694 | $294,280 | $300,610 | $16,916 | 6.0% | $50,101.59 |
| 5180 Payroll - Leasing | $171,131 | $183,577 | $190,893 | $19,762 | 11.5% | $31,815.55 |
| 5190 Payroll - Maintenance | $169,164 | $165,656 | $166,521 | -$2,643 | -1.6% | $27,753.46 |
| 5200 Payroll Taxes & Benefits | $51,467 | $49,703 | $50,721 | -$746 | -1.4% | $8,453.45 |
| 5210 Repairs - Plumbing | $411,074 | $405,142 | $408,713 | -$2,360 | -0.6% | $68,118.90 |
| 5220 Repairs - HVAC | $96,821 | $104,198 | $110,620 | $13,800 | 14.3% | $18,436.74 |
| 5230 Repairs - Electrical | $491,496 | $498,007 | $518,918 | $27,423 | 5.6% | $86,486.36 |
| 5240 Repairs - Appliances | $499,305 | $535,804 | $562,502 | $63,197 | 12.7% | $93,750.27 |
| 5250 Painting & Decorating | $332,526 | $324,208 | $333,877 | $1,351 | 0.4% | $55,646.23 |
| 5260 Flooring | $359,469 | $357,419 | $368,842 | $9,373 | 2.6% | $61,473.72 |
| 5270 Make-Ready / Turnover | $396,305 | $404,062 | $417,584 | $21,279 | 5.4% | $69,597.35 |
| 5280 Landscaping Contract | $140,845 | $143,579 | $150,526 | $9,681 | 6.9% | $25,087.65 |
| 5290 Snow Removal | $166,473 | $162,728 | $171,790 | $5,317 | 3.2% | $28,631.69 |
| 5300 Janitorial | $252,142 | $244,431 | $261,082 | $8,941 | 3.5% | $43,513.73 |
| 5310 Pest Control | $266,736 | $249,123 | $249,704 | -$17,032 | -6.4% | $41,617.36 |
| 5320 Trash Removal | $266,224 | $259,660 | $266,251 | $27 | 0.0% | $44,375.19 |
| 5330 Elevator Contract | $319,769 | $321,548 | $325,908 | $6,140 | 1.9% | $54,318.05 |
| 5340 Fire & Life Safety | $41,404 | $41,641 | $43,288 | $1,884 | 4.6% | $7,214.73 |
| 5350 Security | $488,222 | $487,311 | $518,450 | $30,228 | 6.2% | $86,408.32 |
| 5360 Electricity - Common | $384,005 | $409,010 | $411,294 | $27,288 | 7.1% | $68,548.94 |
| 5370 Gas - Common | $239,355 | $225,592 | $231,178 | -$8,177 | -3.4% | $38,529.68 |
| 5380 Water & Sewer | $519,758 | $492,513 | $505,189 | -$14,569 | -2.8% | $84,198.21 |
| 5390 Telephone/Internet | $185,598 | $180,655 | $186,182 | $584 | 0.3% | $31,030.27 |
| 5400 Advertising | $407,718 | $406,812 | $409,301 | $1,583 | 0.4% | $68,216.82 |

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## Investor Distributions

Projected levered IRR is 11.4% with an equity multiple of 1.43x over the hold period. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Distributions to investors for the quarter were paid at an annualized rate of 7.9% on contributed capital. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Projected levered IRR is 3.3% with an equity multiple of 1.46x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

## Property Operations

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Average rent is $23 per square foot with parking at a ratio of 5 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 92.2% of billed charges, with bad debt of 5.2% of gross potential income.

## Investment Overview

The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Average rent is $23 per square foot with parking at a ratio of 33 spaces per 1,000 square feet. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 3.5% with an equity multiple of 1.44x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 3.6% on contributed capital. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Projected levered IRR is 7.2% with an equity multiple of 1.31x over the hold period. Average rent is $23 per square foot with parking at a ratio of 39 spaces per 1,000 square feet. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns.

## Management Commentary

Collections for the period were 95.4% of billed charges, with bad debt of 6.8% of gross potential income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 37 additional team members. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Service requests are tracked through a work-order system with an average completion time of 20 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 47th business day. Service requests are tracked through a work-order system with an average completion time of 2 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 40 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 88.8% of billed charges, with bad debt of 6.7% of gross potential income.

## Risk Considerations

Projected levered IRR is 3.8% with an equity multiple of 1.3x over the hold period. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

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## Capital Project Schedule

| Project | Category | Start | Completion | Budget | Spent to Date | Status |
|---|---|---|---|---|---|---|
| Exterior paint | Site | 08/18/24 | Q1 2026 | $508,000 | $156,354 | In progress |
| Amenity renovation | Interior | 12/22/25 | Q2 2027 | $97,000 | $55,047 | Approved |
| Pool resurfacing | Life Safety | 05/31/23 | Q2 2025 | $844,000 | $345,733 | Bidding |
| HVAC replacement | Site | 09/24/26 | Q3 2026 | $482,000 | $236,243 | Complete |
| HVAC replacement | Interior | 04/26/25 | Q4 2027 | $829,000 | $264,474 | Deferred |
| Roof replacement - Bldg C | Energy | 12/12/24 | Q2 2025 | $38,000 | $258 | Approved |
| HVAC replacement | Energy | 06/21/24 | Q4 2027 | $469,000 | $200,129 | In progress |
| Amenity renovation | Energy | 06/09/25 | Q2 2027 | $73,000 | $21,067 | Deferred |
| Amenity renovation | Interior | 04/26/23 | Q4 2025 | $589,000 | $307,057 | Bidding |
| Storefront glazing | Building | 12/31/24 | Q2 2026 | $360,000 | $211,446 | Deferred |
| Landscape / irrigation | Life Safety | 07/17/23 | Q2 2026 | $476,000 | $75,186 | In progress |
| Exterior paint | Interior | 01/16/23 | Q2 2027 | $82,000 | $41,647 | Approved |
| LED lighting retrofit | Life Safety | 05/08/26 | Q4 2027 | $440,000 | $228,717 | In progress |
| Elevator modernization | Life Safety | 08/13/23 | Q3 2025 | $501,000 | $518,337 | Deferred |
| Sewer line repair | Building | 02/20/23 | Q3 2025 | $640,000 | $9,333 | In progress |
| Pool resurfacing | Life Safety | 01/15/26 | Q4 2026 | $329,000 | $52,306 | Complete |
| Landscape / irrigation | Building | 02/25/23 | Q3 2027 | $269,000 | $65,346 | Bidding |
| LED lighting retrofit | Building | 02/22/23 | Q4 2026 | $616,000 | $326,456 | Approved |
| ADA compliance | Life Safety | 05/29/23 | Q3 2025 | $470,000 | $284,282 | Bidding |
| Signage / monument | Interior | 09/27/24 | Q2 2027 | $697,000 | $399,570 | Approved |
| ADA compliance | Life Safety | 09/22/25 | Q2 2027 | $352,000 | $160,550 | Bidding |
| Security camera upgrade | Building | 05/05/23 | Q3 2026 | $661,000 | $104,767 | Complete |
| Signage / monument | Energy | 02/06/23 | Q3 2025 | $834,000 | $567,574 | Bidding |
| HVAC replacement | Site | 02/25/26 | Q2 2027 | $388,000 | $350,129 | Complete |
| Unit interior upgrades | Interior | 06/30/26 | Q1 2026 | $567,000 | $567,533 | Approved |
| Parking lot resurfacing | Site | 08/06/23 | Q2 2026 | $824,000 | $708,085 | Approved |
| Amenity renovation | Life Safety | 07/25/26 | Q1 2025 | $55,000 | $36,116 | Complete |
| Parking lot resurfacing | Building | 10/21/25 | Q1 2025 | $377,000 | $170,228 | Complete |
| Security camera upgrade | Building | 01/23/25 | Q3 2027 | $244,000 | $132,075 | Bidding |
| Door hardware | Building | 01/09/23 | Q1 2026 | $716,000 | $561,484 | Complete |
| HVAC replacement | Energy | 03/25/24 | Q2 2025 | $196,000 | $134,155 | Approved |
| Door hardware | Interior | 09/19/23 | Q2 2025 | $276,000 | $227,116 | Approved |
| Unit interior upgrades | Energy | 08/06/24 | Q4 2025 | $432,000 | $365,373 | In progress |
| Water heater replacement | Life Safety | 09/22/24 | Q3 2025 | $387,000 | $291,181 | Complete |
| Storefront glazing | Interior | 09/17/24 | Q1 2025 | $741,000 | $627,555 | In progress |
| Unit interior upgrades | Building | 07/28/24 | Q1 2026 | $128,000 | $33,540 | Deferred |
| ADA compliance | Energy | 04/14/25 | Q2 2027 | $437,000 | $329,565 | Approved |
| Pool resurfacing | Interior | 09/25/26 | Q3 2025 | $868,000 | $626,872 | Approved |
| Amenity renovation | Building | 02/22/23 | Q1 2026 | $342,000 | $328,196 | Bidding |
| Unit interior upgrades | Life Safety | 08/29/25 | Q2 2025 | $846,000 | $255,218 | Bidding |
| Sewer line repair | Building | 09/08/25 | Q2 2025 | $237,000 | $224,845 | In progress |
| Door hardware | Energy | 07/07/25 | Q4 2025 | $523,000 | $258,074 | Complete |
| Fire alarm panel upgrade | Building | 02/10/24 | Q3 2026 | $758,000 | $574,500 | Complete |

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## Income and Expense Review

Effective gross income for the trailing period was $135,000, representing a 7.1% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.57% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $262,000 or approximately 34.85 per square foot, with real estate taxes representing the largest line item. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Operating expenses totaled $86,000 or approximately 41.76 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

## Market Overview

Investor demand for Retail assets in Grand Rapids remains strong with recent trades at capitalization rates between 6.26% and 6.26%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Employment growth is led by healthcare, logistics, education and professional services sectors. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Vista Newport Crossing is located in Grand Rapids, MI, a market that has recorded 10.6% population growth over the last five years. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Median household income within a 1-mile radius of the property is approximately $200,000 and has grown 3.6% annually. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Average rent is $23 per square foot with parking at a ratio of 32 spaces per 1,000 square feet.

## Operating Performance

Effective gross income for the trailing period was $193,000, representing a 3.8% increase over the prior year. Debt service coverage ratio was 5.85x on a trailing basis against a covenant minimum of 1.20x. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Management fees are calculated at 5.5% of collected revenue and are included in operating expenses.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. Operating expenses totaled $95,000 or approximately 43.63 per square foot, with real estate taxes representing the largest line item. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

## Demographics and Employment

Vista Newport Crossing is located in Grand Rapids, MI, a market that has recorded 11.1% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Market vacancy for comparable Retail product stands at 9.2%, down from 6.7% two years ago.

Market vacancy for comparable Retail product stands at 6.6%, down from 5.7% two years ago. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Investor demand for Retail assets in Grand Rapids remains strong with recent trades at capitalization rates between 6.79% and 6.79%. Median household income within a 1-mile radius of the property is approximately $275,000 and has grown 3.9% annually. Rent growth in the submarket has averaged 4.6% annually over the past 5 years. Average rent is $23 per square foot with parking at a ratio of 41 spaces per 1,000 square feet.

## Valuation Discussion

The going-in capitalization rate of 6.68% reflects the in-place income and the stabilized occupancy assumption. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $23 per square foot with parking at a ratio of 48 spaces per 1,000 square feet.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $23 per square foot with parking at a ratio of 29 spaces per 1,000 square feet. Management fees are calculated at 6.3% of collected revenue and are included in operating expenses. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Debt service coverage ratio was 6.10x on a trailing basis against a covenant minimum of 1.20x.

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## Annual Operating Budget by Account

| Account | Prior Yr Actual | Prior Yr Budget | Current Budget | Variance $ | Variance % | Per Unit/SF |
|---|---|---|---|---|---|---|
| 5410 Resident Events | $415,280 | $401,938 | $418,026 | $2,746 | 0.7% | $69,671.04 |
| 5420 Office Supplies | $223,091 | $229,250 | $236,959 | $13,868 | 6.2% | $39,493.21 |
| 5430 Legal & Professional | $141,181 | $130,152 | $135,665 | -$5,516 | -3.9% | $22,610.84 |
| 5440 Accounting & Audit | $166,472 | $156,485 | $165,677 | -$795 | -0.5% | $27,612.80 |
| 5450 Licenses & Permits | $90,873 | $92,516 | $96,538 | $5,665 | 6.2% | $16,089.67 |
| 5460 Management Fee | $446,431 | $475,554 | $505,993 | $59,562 | 13.3% | $84,332.12 |
| 5470 Property Insurance | $67,404 | $62,633 | $66,386 | -$1,018 | -1.5% | $11,064.39 |
| 5480 Real Estate Taxes | $359,153 | $385,817 | $398,128 | $38,975 | 10.9% | $66,354.65 |
| 5490 Asset Management Fee | $262,055 | $266,867 | $282,004 | $19,949 | 7.6% | $47,000.73 |
| 5500 Replacement Reserves | $298,020 | $292,008 | $310,222 | $12,202 | 4.1% | $51,703.68 |
| 5510 Roof Repairs | $369,891 | $388,072 | $411,585 | $41,694 | 11.3% | $68,597.43 |
| 5520 Parking Lot Repairs | $379,541 | $354,883 | $379,687 | $146 | 0.0% | $63,281.16 |
| 5530 Signage | $48,362 | $45,673 | $47,924 | -$438 | -0.9% | $7,987.40 |
| 5540 Tenant Improvements | $204,038 | $200,318 | $205,542 | $1,505 | 0.7% | $34,257.08 |
| 5550 Leasing Commissions | $522,981 | $561,747 | $580,444 | $57,464 | 11.0% | $96,740.72 |
| 5000 Gross Potential Rent | $272,047 | $264,082 | $274,622 | $2,575 | 0.9% | $45,770.26 |
| 5010 Loss to Lease | $109,106 | $114,819 | $119,057 | $9,951 | 9.1% | $19,842.87 |
| 5020 Vacancy Loss | $307,038 | $300,251 | $318,236 | $11,198 | 3.6% | $53,039.32 |
| 5030 Concessions | $39,008 | $36,593 | $37,542 | -$1,466 | -3.8% | $6,257.01 |
| 5040 Bad Debt | $481,619 | $486,679 | $519,903 | $38,284 | 7.9% | $86,650.48 |
| 5050 Late Fees | $240,053 | $250,478 | $256,319 | $16,266 | 6.8% | $42,719.82 |
| 5060 Utility Reimbursements | $77,939 | $80,634 | $84,060 | $6,121 | 7.9% | $14,009.92 |
| 5070 Parking Income | $210,979 | $222,865 | $229,463 | $18,484 | 8.8% | $38,243.83 |
| 5080 Application Fees | $439,076 | $405,509 | $417,843 | -$21,233 | -4.8% | $69,640.45 |
| 5090 Pet Rent | $74,804 | $72,601 | $73,585 | -$1,220 | -1.6% | $12,264.12 |
| 5100 Laundry Income | $340,402 | $316,102 | $328,213 | -$12,189 | -3.6% | $54,702.15 |
| 5110 Cable/Internet Revenue | $294,787 | $305,831 | $314,136 | $19,349 | 6.6% | $52,356.02 |
| 5120 CAM Reimbursements | $258,805 | $274,123 | $286,782 | $27,977 | 10.8% | $47,797.03 |
| 5130 Tax Reimbursements | $164,250 | $151,568 | $160,375 | -$3,876 | -2.4% | $26,729.13 |
| 5140 Insurance Reimbursements | $426,341 | $446,602 | $463,000 | $36,660 | 8.6% | $77,166.69 |
| 5150 Percentage Rent | $296,018 | $281,024 | $284,916 | -$11,102 | -3.8% | $47,486.02 |
| 5160 Misc. Income | $302,058 | $293,674 | $299,625 | -$2,433 | -0.8% | $49,937.51 |
| 5170 Payroll - Management | $309,352 | $303,128 | $313,099 | $3,748 | 1.2% | $52,183.25 |
| 5180 Payroll - Leasing | $381,950 | $361,353 | $376,142 | -$5,808 | -1.5% | $62,690.39 |
| 5190 Payroll - Maintenance | $83,479 | $78,570 | $78,682 | -$4,797 | -5.7% | $13,113.66 |
| 5200 Payroll Taxes & Benefits | $280,371 | $285,972 | $297,578 | $17,208 | 6.1% | $49,596.40 |
| 5210 Repairs - Plumbing | $195,451 | $190,239 | $202,009 | $6,558 | 3.4% | $33,668.22 |
| 5220 Repairs - HVAC | $545,746 | $580,809 | $610,605 | $64,858 | 11.9% | $101,767.48 |
| 5230 Repairs - Electrical | $353,148 | $343,627 | $350,970 | -$2,178 | -0.6% | $58,494.95 |
| 5240 Repairs - Appliances | $185,871 | $190,987 | $199,485 | $13,614 | 7.3% | $33,247.50 |
| 5250 Painting & Decorating | $101,687 | $101,930 | $102,898 | $1,210 | 1.2% | $17,149.60 |

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